Nation Media Group

Media of Africa for Africa

www.nationmedia.com

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The Directors of Nation Media Group PLC are pleased to announce the audited Group financial results for the year ended 31 December 2020

Condensed consolidated statement of comprehensive income

	2020 Kshs million	2019 Kshs million
Turnover	6,812.8	9,050.9
Gross profit	5,664.8	7,236.8
Profit before income tax and exceptional items	460.9	1,332.8
Exceptional items	(341.0)	(36.4)
Profit before income tax	119.9	1,296.4
Income tax expense	(72.0)	(440.4)
Profit after income tax	47.9	856.0
Other comprehensive income	87.6	6.6
Total comprehensive income for the year	135.5	862.6
Attributable to:		
Equity holders of the Company	129.9	855.4
Non-controlling interest	5.6	7.2
Earnings per share (Kshs)	0.2	4.5
Dividend per share (Kshs)-Ordinary	-	1.5

Condensed consolidated statement of financial position

	2020 Kshs million	2019 Kshs million
Capital and reserves		
Share capital	518.5	471.4
Other reserves	(57.7)	(134.9)
Retained earnings	7,402.7	7,397.1
Proposed dividends	-	-
	7,863.5	**7,733.6**
Non-controlling interest	69.5	63.9
Total equity	**7,933.0**	**7,797.5**
Non-current liabilities	477.5	725.5
	8,410.5	**8,523.0**
Assets		
Non-current assets	4,863.2	5,184.7
Working capital		
Current assets	6,957.4	6,912.0
Current liabilities	3,410.1	3,573.7
Net working capital	3,547.3	3,338.3
	8,410.5	**8,523.0**

Condensed consolidated statement of cashflows

	2020 Kshs million	2019 Kshs million
Cash generated from operations	598.1	1,967.8
Tax paid	(138.0)	(519.4)
Net cash from operating activities	**460.1**	**1,448.4**
Net cash generated from/(used) in investing activities	23.6	(140.9)
Net cash used in financing activities	(204.4)	(1,155.9)
Increase in cash and cash equivalents	**279.3**	**151.6**
At start of period	**1,039.0**	**867.1**
Exchange gains on cash and cash equivalents	25.9	20.3
At end of period	**1,344.2**	**1,039.0**
Short term investments	1,530.0	1,520.0
Total cash and cash equivalents	**2,874.2**	**2,559.0**

Condensed Group statement of changes in equity

	Attributable to equity holders of the company				Minority interest	Total equity
	Share capital Kshs m	Other reserves Kshs m	Retained earnings Kshs m	Proposed dividends Kshs m	Kshs m	Kshs m
Year ended 31 December 2020						
At start of year	471.4	(134.9)	7,397.1	-	63.9	7,797.5
Total Comprehensive income:						
Profit for the period	-	-	48.1	-	(0.2)	47.9
Other comprehensive income, net of tax						
Currency translation differences	-	63.4	-	-	5.8	69.2
Transfer of excess depreciation	-	(6.5)	6.5	-	-	-
Deferred income tax on transfer	-	1.9	(1.9)	-	-	-
Share of comprehensive income in associate	-	18.4	-	-	-	18.4
Total other comprehensive income	**-**	**77.2**	**4.6**	**-**	**5.8**	**87.6**
Total comprehensive income for the period	**-**	**77.2**	**52.7**	**-**	**5.6**	**135.5**
Transaction with owners:						
Bonus share issue	47.1	-	(47.1)	-	-	-
At end of period	**518.5**	**(57.7)**	**7,402.7**	**-**	**69.5**	**7,933.0**

PERFORMANCE

Performance for the year was impacted adversely by the outbreak of the Covid-19 pandemic as Governments across the region rolled out measures to combat the spread of the virus.

These measures precipitated a drastic decline in advertising revenues, particularly between April and June 2020, as many advertisers scaled down operations and held back marketing activities in a fight for business survival.

The adverse impact of the general restrictions on mobility of people on newspaper copy sales was partially mitigated by growth in subscriptions to our E-paper products.

Overall performance improved in the second half of the year following the gradual easing of the pandemic related restrictions across the Group's markets. In particular, television and digital revenue grew substantially while print advertising and circulation volumes commenced recovery.

DIVIDEND

Considering the prevailing economic environment and the Group's investment plans, the directors do not recommend the payment of any dividend for the year ending 31st December 2020.

OUTLOOK

The Group's flagship digital brand Nation.Africa, launched in July 2020, continues to register impressive growth in our journey towards becoming a modern, reader revenue driven, content company and a leader in the mobile publishing landscape in Africa.

Going forward, the Group will focus on building on the early gains from its digital transformation initiatives through further investment in our journalism and diversification of our digital products offerings while upholding its strong position in the print and broadcast media sectors.

COVID – 19

The Group continues to take appropriate actions to safeguard the safety of its staff and customers as a priority, alongside ensuring continuity of its operations and supporting the combating of the pandemic across our communities.

By order of the Board

Angela Namwakira
COMPANY SECRETARY
29 April 2021

OUR BRANDS

DAILY NATION · DAILY MONITOR · RWANDA TODAY · MWANA SPOTI · NTV · Jembe · NationSema · Pish · LIT 360 · TAG brand studio · KUSI IDEAS FESTIVAL · BUSINESS DAILY · MWANANCHI · THE CITIZEN · ntv · Spark TV · NATIONFM · Kiss · NAIROBI NEWS · KENYA BUZZ · Nation ePaper · NATION Empower Africa · The EastAfrican · TAIFA LEO · ENNYANDA